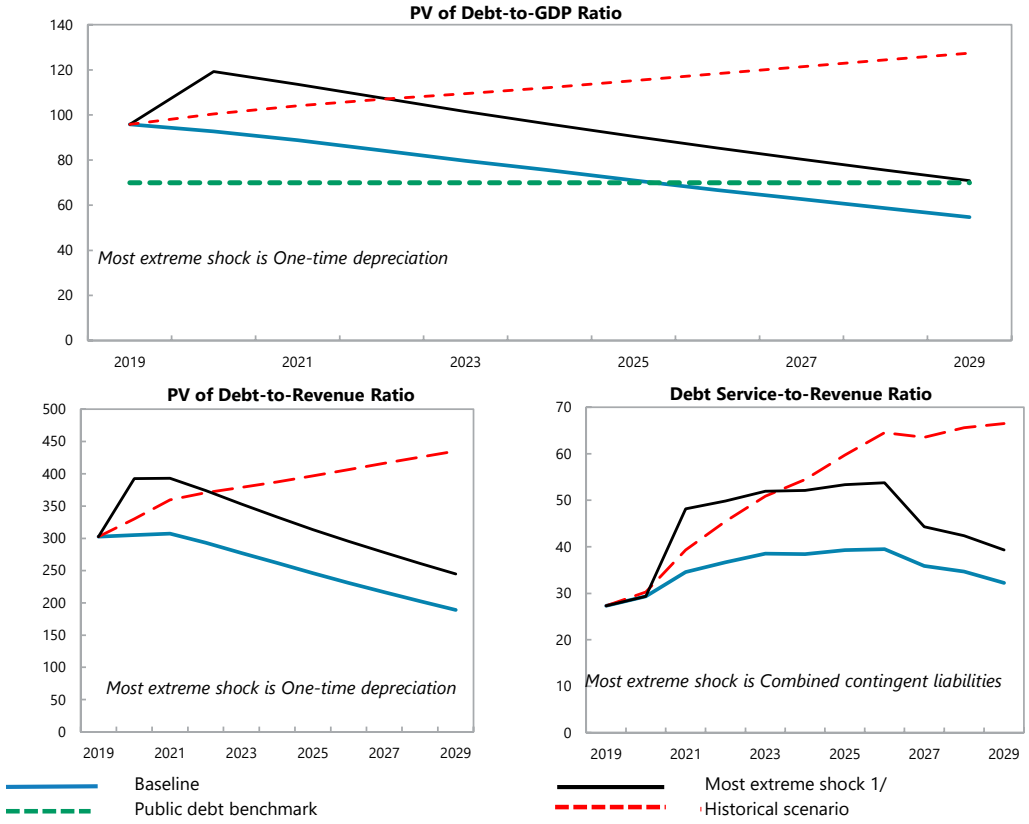
Figure 2. Cabo Verde: Indicators of Public Debt Under Alternative Scenarios, 2019–2029



Borrowing Assumptions for Stress Tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	43%	43%
Domestic medium and long-term	56%	56%
Domestic short-term	1%	1%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.7%	1.7%
Avg. maturity (incl. grace period)	22	22
Avg. grace period	6	6
Domestic MLT debt		
Avg. real interest rate on new borrowing	3.3%	3.3%
Avg. maturity (incl. grace period)	6	6
Avg. grace period	0	0
Domestic short-term debt		
Avg. real interest rate	0%	0.0%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2029. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

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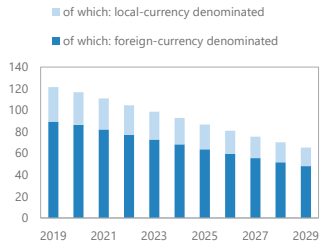
Table 2. Cabo Verde: Public Sector Debt Sustainability Framework, Baseline Scenario, 2016–2039

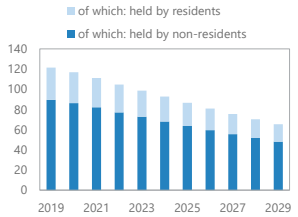
(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2029	2039	Historical	Projections
Public sector debt 1/	**128.4**	**127.0**	**123.9**	**121.4**	**116.8**	**111.0**	**104.6**	**98.5**	**92.7**	**65.3**	**29.9**	**102.9**	**93.0**
of which: external debt	**96.7**	**94.9**	**91.0**	**89.3**	**86.3**	**82.1**	**77.0**	**72.7**	**68.2**	**48.1**	**24.0**	**76.6**	**68.5**
Change in public sector debt	1.7	-1.4	-3.1	-2.5	-4.7	-5.8	-6.4	-6.1	-5.8	-5.0	-2.7		
Identified debt-creating flows	**4.0**	**-12.4**	**-1.0**	**-2.4**	**-4.7**	**-5.8**	**-6.4**	**-6.1**	**-5.8**	**-5.0**	**-1.5**	**7.4**	**-5.3**
Primary deficit	**0.5**	**0.4**	**0.3**	**-0.7**	**-1.0**	**-1.2**	**-1.2**	**-1.2**	**-1.2**	**-1.9**	**0.0**	**4.3**	**-1.4**
Revenue and grants	26.6	28.6	28.1	31.7	30.4	28.9	28.8	28.8	28.8	29.0	28.1	**26.4**	**29.3**
of which: grants	2.7	3.7	1.4	2.8	1.9	0.9	0.8	0.8	0.8	0.8	0.8		
Primary (noninterest) expenditure	27.1	28.9	28.3	31.0	29.4	27.7	27.6	27.6	27.6	27.1	28.1	**30.7**	**27.9**
Automatic debt dynamics	**0.1**	**-13.1**	**-2.3**	**-6.1**	**-5.9**	**-5.6**	**-5.4**	**-5.0**	**-4.8**	**-3.1**	**-1.5**		
Contribution from interest rate/growth differential	-4.2	-4.1	-6.6	-5.5	-5.6	-5.6	-5.4	-5.0	-4.7	-3.2	-1.5		
of which: contribution from average real interest rate	1.5	0.8	0.1	0.5	0.2	-0.1	-0.1	0.0	0.0	0.2	0.1		
of which: contribution from real GDP growth	-5.7	-5.0	-6.6	-5.9	-5.8	-5.6	-5.3	-5.0	-4.7	-3.3	-1.6		
Contribution from real exchange rate depreciation	4.2	-9.0	4.3	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**3.4**	**0.4**	**1.0**	**4.3**	**2.2**	**0.9**	**0.2**	**0.2**	**0.2**	**0.0**	**0.0**	**2.5**	**0.7**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	3.4	0.4	1.0	4.3	2.2	0.9	0.2	0.2	0.2	0.0	0.0		
Residual	**-2.3**	**11.1**	**-2.1**	**-0.6**	**-0.3**	**0.0**	**0.1**	**0.0**	**-0.1**	**0.1**	**-1.3**	**-0.7**	**0.0**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**97.2**	**95.8**	**92.7**	**88.8**	**84.3**	**79.7**	**75.4**	**54.7**	**25.0**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**346.1**	**302.4**	**305.2**	**307.1**	**292.9**	**277.2**	**261.8**	**188.9**	**89.0**		
Debt service-to-revenue and grants ratio 3/	**28.3**	**27.7**	**30.1**	**27.3**	**29.4**	**34.6**	**36.7**	**38.5**	**38.4**	**32.2**	**15.8**		
Gross financing need 4/	5.5	5.6	8.7	12.3	10.1	9.8	9.6	10.0	10.1	7.5	4.5		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	4.7	4.0	5.5	5.0	5.0	5.0	5.0	5.0	5.0	5.0	5.0	**2.2**	**5.0**
Average nominal interest rate on external debt (in percent)	1.1	1.3	1.1	1.2	1.2	1.2	1.2	1.2	1.2	1.4	1.9	**1.2**	**1.3**
Average real interest rate on domestic debt (in percent)	5.5	4.5	3.6	3.2	3.1	3.0	2.8	2.8	2.8	3.2	2.9	**4.1**	**2.9**
Real exchange rate depreciation (in percent, + indicates depreciation)	4.5	-9.7	4.8	...	...	...	...	...	...	...	...	**2.8**	**...**
Inflation rate (GDP deflator, in percent)	-0.2	0.5	1.4	1.5	1.6	1.6	1.8	1.8	1.8	2.0	2.3	**1.1**	**1.8**
Growth of real primary spending (deflated by GDP deflator, in percent)	-1.6	11.0	3.4	14.9	-0.5	-0.9	4.5	4.9	5.2	5.0	5.0	**2.4**	**4.6**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-1.2	1.7	3.4	1.8	3.7	4.7	5.2	4.9	4.6	3.1	2.7	**1.3**	**3.9**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**No**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government plus extra budgetary funds, central bank, government-guaranteed debt. Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

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Table 3. Cabo Verde: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2019–2029

(Percent)

	Projections										
	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029
PV of debt-to GDP ratio											
Baseline	**64**	**62**	**60**	**57**	54	51	48	45	43	40	38
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2039 1/	**64**	**68**	**71**	**74**	**78**	**82**	**86**	**91**	**96**	**101**	**106**
B. Bound Tests											
B1. Real GDP growth	**64**	**66**	**66**	**63**	**60**	**56**	53	50	47	44	41
B2. Primary balance	**64**	**65**	**65**	**62**	**60**	**57**	55	53	50	48	45
B3. Exports	**64**	**70**	**80**	**76**	**73**	**69**	**66**	**63**	**59**	**55**	51
B4. Other flows 2/	**64**	**66**	**67**	**64**	**61**	**58**	55	52	49	46	42
B6. One-time 30 percent nominal depreciation	**64**	**88**	**80**	**75**	**72**	**67**	**64**	**60**	**56**	53	50
B6. Combination of B1-B5	**64**	**73**	**75**	**71**	**68**	**64**	**61**	**58**	54	51	47
C. Tailored Tests											
C1. Combined contingent liabilities	**64**	**71**	**69**	**67**	**65**	**62**	**60**	**58**	**56**	53	51
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	55	55	55	55	55	55	55	55	55	55	55
PV of debt-to-exports ratio											
Baseline	128	121	112	102	93	85	79	73	68	64	59
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2039 1/	128	131	132	133	135	136	140	146	152	159	165
B. Bound Tests											
B1. Real GDP growth	128	121	112	102	93	85	79	73	68	64	59
B2. Primary balance	128	126	122	112	104	95	90	85	80	75	70
B3. Exports	128	170	238	218	200	183	171	161	151	139	127
B4. Other flows 2/	128	129	126	115	105	96	89	83	78	72	66
B6. One-time 30 percent nominal depreciation	128	121	106	96	87	79	73	68	64	59	55
B6. Combination of B1-B5	128	157	129	158	144	132	123	115	107	99	91
C. Tailored Tests											
C1. Combined contingent liabilities	128	138	130	120	112	103	98	93	89	84	79
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	240	240	240	240	240	240	240	240	240	240	240
Debt service-to-exports ratio											
Baseline	8	7	7	8	7	7	6	6	6	6	6
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2039 1/	8	7	8	10	10	10	10	10	10	11	12
B. Bound Tests											
B1. Real GDP growth	8	7	7	8	7	7	6	6	6	6	6
B2. Primary balance	8	7	8	8	8	7	7	6	6	7	7
B3. Exports	8	9	12	14	13	12	11	11	11	13	13
B4. Other flows 2/	8	7	8	8	8	7	7	6	6	7	7
B6. One-time 30 percent nominal depreciation	8	7	7	8	7	7	6	6	6	6	5
B6. Combination of B1-B5	8	8	10	11	10	9	9	8	9	9	9
C. Tailored Tests											
C1. Combined contingent liabilities	8	7	8	8	8	7	7	6	6	6	6
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	21	21	21	21	21	21	21	21	21	21	21
Debt service-to-revenue ratio											
Baseline	13	12	14	16	15	15	14	13	13	13	13
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2019-2039 1/	13	13	16	19	20	21	21	22	**23**	**26**	**28**
B. Bound Tests											
B1. Real GDP growth	13	13	16	17	17	16	16	15	15	15	15
B2. Primary balance	13	12	14	16	16	15	15	14	14	15	15
B3. Exports	13	12	15	18	17	16	16	15	16	19	18
B4. Other flows 2/	13	12	15	16	16	15	15	14	14	15	15
B6. One-time 30 percent nominal depreciation	13	17	20	22	21	20	20	19	18	17	18
B6. Combination of B1-B5	13	13	16	18	17	16	16	15	16	17	17
C. Tailored Tests											
C1. Combined contingent liabilities	13	12	15	17	16	15	15	14	14	14	14
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	23	23	23	23	23	23	23	23	23	23	23

Sources: Country authorities; and staff estimates and projections.

1/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
2/ Includes official and private transfers and FDI.

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